

Coca-Cola Company has outstanding a no-par Class A stock entitled to preferential dividends of \$3 per share, cumulative, and redeemable at 55. The company carries this issue as a liability at its “stated value” of \$5 per share. But the true par value is clearly \$50.¹

In all instances such as the above an “effective par value” must be set up for the preferred stock that will correspond properly to its dividend rate. A strong argument may be advanced in favor of valuing all preferred stocks on a uniform dividend basis, say 5%, unless callable at a lower figure. This would mean that a \$1,000,000 five per cent issue would be valued at \$1,000,000, a \$1,000,000 four per cent issue would be given an effective value of \$800,000 and a \$1,000,000 seven per cent noncallable issue would be given an effective value of \$1,400,000. But it is more convenient, of course, to use the par value, and in most cases the result will be sufficiently accurate.² A simpler method, which would work well for most practical purposes, is to value preferred issues at par (plus back dividends) or market, whichever is higher.

Calculation of Book Value of Preferred Stocks. In calculating the book value of a preferred stock issue it is treated as a common stock and the issues junior to it are left out of consideration. The following computations from the December 31, 1932, balance sheet of Tubize Chatillon Corporation will illustrate the principles involved.

¹ Amusingly enough, in 1929 the company carried *as an asset* 194,000 repurchased shares of Class A stock at their cost of \$9,434,000, although the entire issue of 1,000,000 shares appeared as a liability of only \$5,000,000. For a similar accounting absurdity applied to common stocks, see the June 1939 balance sheet of Hecker Products—on which its net stated liability for its capital stock works out as a *minus* figure.

² Standard Statistics Company, Inc., follows the practice of deducting preferred stock at its value *in case of involuntary liquidation*, when computing the book value of the common. This is scarcely logical, because dissolution or liquidation is almost always a remote contingency and would take place under conditions quite different from those obtaining at the time of analysis. The Standard Statistics Company method results in placing a “value” of \$115 per share on Procter and Gamble Company \$5 Second Preferred and a value of only \$100 per share on the same company’s \$8 First Preferred. The real or practical value of the preferred stockholder’s claims in this case would be much nearer in the proportion of 160 for the First Preferred against 100 for the Second Preferred, a 5% dividend yield basis for both. In the case of investment-trust issues, liquidation values of preferred issues are more relevant and should generally be used.